

Paradiem 

The Morning Brief

AUGUST 22, 2026

Debasement Bid

Bitcoin logs its best week since 2023 alongside a bid in gold and crude as duration round-trips and equities fade for a second consecutive week; Bessent's Monday press conference, the Section 338 Canada tariff trigger, and Chair Warsh's Jackson Hole debut frame the week ahead.

S&P 500 (FRI CLOSE)	TLT (20Y FRI CLOSE)	WTI (USO FRI CLOSE)	BITCOIN (LIVE SAT)	FEAR & GREED
\$765.72 · ↓~1.4% on the week	\$82.05 · Wed buyback bid faded by Fri	\$134.64 · ↑~6% on the week	~\$78,300 · Best week since 2023	71 · Crypto endpoint

SECTION 01

Markets — Week in Review: Debasement Bid Compounds Across Hard Assets as Duration Round-Trips and the S&P Logs a Second Consecutive Down Week

HARD-ASSET COMPLEX BID TOGETHER AS LONG-END BUYBACK INTERVENTION FADES AND EQUITIES FAIL TO RECOVER THE WEEKLY DRAWDOWN

Per Yahoo Finance and TheStreet coverage of Friday's tape, the S&P 500 closed ↑0.43% Friday but logged its second consecutive down week at approximately -1.4% as a Monday and Tuesday duration selloff and mid-week IT weakness overwhelmed the Wednesday Treasury buyback bid captured in prior briefs. Per data drop, Friday's FCI-index composition read: SPY ↑0.41% at \$765.72, DIA ↑0.89% at \$532.22, QQQ ↑0.35% at \$713.44, and Russell 2000 ↑0.77% at \$299.96 — a broad-based Friday bounce that did not reverse the weekly damage in the long-duration tech complex. Per Trading Economics coverage, the 30-year Treasury yield ended the week near 5.28%, and per data drop TLT closed ↓0.35% at \$82.05 — essentially round-tripping the Wednesday buyback-driven bid. Per Trading Economics coverage, WTI ended the week higher by approximately 6% (its second consecutive weekly gain) as the Iran-sanctions escalation held the physical-friction floor into the weekend, and per USAGOLD coverage gold surged approximately 5% on the week toward the \$4,590 handle as dollar weakness and US-debt-anxiety framing compounded after federal debt crossed the \$40T threshold per multiple debt-tracker sources. Per Rio Times Aug 22 coverage of Saturday's live crypto tape, Bitcoin printed near \$78,300 Saturday morning — the sharpest weekly rise since 2023 at approximately ↑22% — and Ethereum extended cleanly alongside. The composition — hard assets bid together, duration round-tripping, equities fading a second week — reads as a classic debasement-hedge trade compounding across the physical-world thesis at the center of the FCI mandate.

S&P 500 (WEEKLY)	\$765.72 · ↓~1.4% on the week
TLT (20Y WEEKLY)	\$82.05 · Wed buyback bid faded
WTI CRUDE (WEEKLY)	\$134.64 · ↑~6% on the week
GOLD (WEEKLY)	~\$4,590 spot · ↑~5% on the week
BITCOIN (LIVE SAT)	~\$78,300 · ↑~22% on the week
IBIT / ETHA (WEEKLY)	↑~23% / ↑~25%

S&P GLOBAL FLASH PMI SPLITS — MANUFACTURING SOFTENS TO A FIVE-MONTH LOW, SERVICES 20-MONTH HIGH, COMPOSITE FASTEST SINCE 2022

Per S&P Global press release and InvestingLive coverage of Friday's 9:45 AM ET flash release, the August S&P Global manufacturing PMI printed 53.2 (versus 53.9 consensus and

53.9 prior) — a five-month low that partially diverged from Thursday's hot Philadelphia Fed print of +47.4 — while services PMI printed 56.8 (versus 54.0 consensus and 54.6 prior) — a twenty-month high — and the composite output index printed 56.0, characterized by S&P Global as the fastest expansion since April 2022 alongside employment growth read as the strongest since early 2025. For FCI positioning into next week, the composite composition adds ammunition to the hawkish camp Chair Warsh will inherit at Jackson Hole (Aug 27–29), while the manufacturing softening keeps the labor-and-industrial diverging read live — a split that leaves the September Fed decision two-sided and materially frames the crude-and-crypto compound bid as much a policy-uncertainty read as a physical-supply read.

A duration intervention that fails to durably reset the term-premium tends to compound the debasement bid it was meant to relieve. Physical world matters.

SECTION 02

Geopolitics — Iran Sanctions Detail Monday, Section 338 Canada Trigger Overnight, Ukraine Strikes Top-10 Russian Refinery, Kushner-Netanyahu Push Gaza Framework

BESSENT MONDAY PRESS CONFERENCE — THE DETAIL WINDOW ON THE IRAN ISOLATION PACKAGE FINALLY OPENS

Per Reuters coverage cited in the data drop headlines, Treasury Secretary Bessent is scheduled to hold a press conference on Monday, materially framing the operative detail of the sanctions package he characterized last week as the most stringent in history and Trump characterized on Wednesday night's Truth Social post as an unprecedented economic action. Per CNBC coverage of Thursday's framing, Bessent invoked language around economic pressure and a naval-blockade posture designed to isolate Tehran while stepping back from any suggestion of restarting large-scale combat — a composition that positions Monday's detail as the operative test of whether the enforcement perimeter widens around Shandong teapot refiners and the marine-insurance and reinsurance channels or reads narrower than the framing has implied. Per Reuters coverage cited in the data drop, oil rose for a second consecutive week as the unsettled US-Iran conflict continued to crimp supply and Hormuz transit counts held in single digits against the roughly 130 daily crossings recorded before the conflict. Per CNBC coverage of Friday's tape, Iran's president signaled a desire to end the war Friday — a diplomatic signal that pulled crude modestly off session highs but did not compress the weekly gain. For the FCI energy sleeve, Friday marked a modest fade with CVX ↓0.24% at \$205.27, CNX ↓0.27% at \$36.36, and OKE ↓1.34% at \$93.33 per data drop — a composition consistent with a session pricing the incremental Iran-diplomacy signal into the sleeve while the weekly physical-friction floor remained intact. Monday's Bessent detail is the operative catalyst for whether the crude complex extends the two-week gain into a third or compresses back toward the pre-escalation range.

SECTION 338 CANADA TRIGGER — 50% DUTIES SET TO LAND 12:01 AM ET SATURDAY ABSENT AN ELEVENTH-HOUR DEAL

Per Wiley, Tariffstool, and Prime Minister Carney's public statement coverage, the three-day pause on the 50% Section 338 duty on approximately \$20B of Canadian imports (dairy,

alcohol, autos, wine, cement, and certain other goods, with energy, potash, critical minerals, and fish carve-outs) expired end-of-day Friday, August 21, with duties set to land at 12:01 AM ET Saturday absent an eleventh-hour agreement. Per Carney's Aug 18 statement, negotiators had made substantial progress but important work remained — framing that leaves both a Friday-night deal announcement and a Monday-morning tariff-live tape as live scenarios into the open. For FCI positioning, the Monday setup reads directly against whichever outcome lands over the weekend: if duties stick, the auto, alcohol, and dairy-adjacent supply chains face an immediate cost step, the tariff-refund tailwind that materially drove Walmart's Q2 gross-margin beat (per Investing.com and TradingKey coverage of the WMT print) reverses direction, and the industrial-and-materials complex reads the same trade-policy shock the Section 232 steel and aluminum window already priced; if a deal lands, the discretionary-and-industrial sleeve carries a relief bid into the open. Per data drop, the FCI-exposed complex closed Friday as follows: CAT ↑1.53% at \$827.90 (recovering Thursday's marginal draw-down), STLD ↑4.42% at \$228.68 (the widest single-day recovery in the dividend sleeve after leading Thursday's losses), TOL ↑1.36% at \$147.09, NTR ↑2.94% at \$75.27 (the potash carve-out remains favorable), FAST ↑1.18% at \$51.26, and GPC ↑0.78% at \$133.96 — a composition that will read directly against Monday's tariff verdict.

UKRAINE STRIKES TOP-10 RUSSIAN REFINERY AT PERM AS RUSSIAN REFINING RUNS NEAR A 24-YEAR LOW

Per Kyiv Independent and Kyiv Post coverage of Friday morning's attack, Ukraine struck the Lukoil-owned Permynefteorgsintez refinery in Perm — a top-10 Russian facility by capacity — and Russia's Defense Ministry claimed 325 drones downed overnight in what represented one of the widest single-night volleys of the Ukrainian campaign to date. Per Moscow Times coverage citing Bloomberg data, Russian oil refining had already fallen to a 24-year low from the cumulative Ukrainian drone campaign heading into Friday, and per prior briefs the Druzhba pipeline flows into Hungary and Slovakia have been down since August 18 following the

Nikolskoye station strike. The composition — Middle East Hormuz friction alongside Russian refining running near multi-decade lows and Central European pipeline capacity halted — extends the two-front supply variable that has framed the physical-friction floor under crude since the Hormuz reimposition and now reads through both distillate cracks and diesel-and-gasoline export flow. For the FCI energy sleeve, CVX (\$205.27 per data drop) and CNX (\$36.36 per data drop) sit at the intersection of the compound supply variable and continue to read as the primary hedge against a scenario in which either Iran diplomacy stalls or the Russian refining outage widens.

KUSHNER-NETANYAHU-HAMAS MEDIATION ADVANCES BUT THE DEMILITARIZATION CONDITION REMAINS THE STICKING POINT

Per Al Jazeera, Times of Israel, and Axios coverage of the past week's diplomacy, Presidential Envoy Jared Kushner met Hamas leaders in Egypt on Sunday alongside Egyptian, Qatari, and Turkish mediators, then met Prime Minister Netanyahu in Jerusalem on Monday for what those outlets characterized as a multi-hour session focused on the Trump 15-point framework. Per the same coverage, Kushner and Netanyahu agreed a US general should oversee Hamas demilitarization with no redeployment or reconstruction proceeding until Hamas disarms strip-wide — a condition Hamas critics have characterized as a poison pill and Israel had earlier declined to endorse in full. Per Reuters coverage cited in prior briefs, US envoy Huckabee publicly told Israeli settlers not to take Palestinian Americans' land — a diplomatic-tone signal that continues to sit alongside domestic Israeli political friction. For FCI positioning, the compound diplomatic surround — Iran sanctions escalation with a Monday detail window, Section 338 Canada tariff trigger overnight, Ukraine refinery strikes and Druzhba outages, and Gaza-framework friction — keeps the energy sleeve (CVX, CNX, OKE) and the digital-asset expression (IBIT, ETHA) at the intersection of the geopolitical risk premium and the debasement bid noted in the Markets section.

On Our Radar

1. Week Ahead — Jackson Hole (Aug 27–29) with Warsh Keynote Friday, NVDA Wednesday, and July PCE the Same Morning.

Per Kansas City Fed calendar, the Jackson Hole Economic Symposium runs Aug 27–29 under the theme “Financial Innovation: Implications for Payments and Policy” — a notably crypto-adjacent framing for Chair Warsh’s first Jackson Hole as Chair — with the keynote scheduled Friday morning August 28. Per OddsShopper coverage of CME FedWatch as of Aug 20, September rate-decision odds landed at approximately 68% hold, approximately 31% hike, and approximately 0–1% cut — a distribution the FOMC minutes’ three-dissent composition supports and the S&P Global composite PMI 56.0 (fastest since April 2022) and Philly Fed +47.4 reinforce. Per BEA schedule, GDP 2nd estimate and July Personal Income & Outlays (including the PCE deflator) publish Wednesday August 26 at 8:30 AM ET, alongside Durable Goods; NVDA reports Wednesday AMC, CRM and CRWD Wednesday AMC, MRVL Thursday AMC, and BBY Wednesday pre-open. Per TipRanks and TS2 coverage of the NVDA setup, options traders are pricing an approximate 7% post-earnings move, and NVDA has fallen after each of the past four earnings prints — a composition that materially frames the FCI growth-sleeve read-through across AMD, TSM, MRVL, NXPI, LRCX, and KEYS.

2. Bessent Monday Press Conference — Enforcement Perimeter Detail Is the Operative Read for the Crude and Sanctions Complex. Per Reuters coverage cited in the data drop, Treasury Secretary Bessent is scheduled to hold a press conference Monday materially framing the sanctions package. Per Bloomberg and Fortune previews cited in prior briefs, the operative variable in the detail remains the secondary-sanction perimeter around Shandong teapot refiners and the marine-insurance and reinsurance channels rather than the aggregate sanction count. A package that widens the perimeter tends to firm the physical-friction floor under crude; a package that reads narrower would compress it. Per CNBC coverage of Bessent's Thursday framing, the Secretary invoked economic-pressure and naval-blockade posture while stepping back from any suggestion of restarting large-scale combat — a composition that keeps Monday's detail two-sided and materially frames the crude tape into the Jackson Hole window. Per SCMP and Hydrocarbon Processing coverage, Chinese seaborne Russian crude imports in August ran near 1.25 million barrels per day (up) while Iranian imports collapsed to approximately 340,000 barrels per day on the US blockade — the substitution effect the Bessent perimeter framing will be read against.

3. Bitcoin's Best Week Since 2023 — IBIT and ETHA Compound the Regulatory-Framework Signal into the Weekend. Per Rio Times Aug 22 coverage of Saturday's live tape, Bitcoin printed near \$78,300 Saturday morning — the sharpest weekly rise since 2023 at approximately $\uparrow 22\%$ — and per data drop the FCI digital-asset expression carried the week cleanly with IBIT closing Friday $\uparrow 6.02\%$ at \$43.68 and ETHA $\uparrow 3.93\%$ at \$18.24, extending Thursday's $\uparrow 6.24\%$ / $\uparrow 10.52\%$ marks. Per Coinpedia and Decrypt coverage of Tuesday's White House crypto summit, the administration hosted major crypto executives (Coinbase, Robinhood, Ripple, Winklevoss, Chainlink, Kraken) alongside regulators, with President Trump publicly framing CFTC Chair Selig's effort to bring Hyperliquid onshore in a fully compliant fashion and the CLARITY Act procedural vote scheduled for September 15. Per Benzinga coverage cited in the data drop, Bitcoin ETF inflows totaled approximately \$1.6B on the week, and per SeekingAlpha coverage cited in the data drop, Bitcoin logged its strongest week since 2023 on the compound of the bond-fix and crypto-bill signals. For FCI, the ETF expression through IBIT and ETHA continues to read cleanly on the intersection of the debasement-hedge trade and the regulatory-framework signal, both of which turned favorable this week and now sit ahead of the Jackson Hole payments-and-policy theme.

4. HOOD $\uparrow 13.70\%$ Friday — The Widest FCI Single-Name Move on the Session; Miner Beta Diverges as HUT $\downarrow 8.79\%$ Even as Spot Advanced Sharply. Per data drop, Robinhood closed Friday $\uparrow 13.70\%$ at \$108.13 — the widest single-name move in the FCI universe on the session — alongside SOFI $\uparrow 5.52\%$ at \$18.91 and FCX $\uparrow 7.64\%$ at \$76.66. Per SeekingAlpha coverage of the Q2 2026 13F filings cited in the data drop, Renaissance Technologies' portfolio update flagged HOOD and NVDA among incremental positioning changes worth analytical attention. Per data drop, the bitcoin-miner complex diverged materially on the session with HUT closing $\downarrow 8.79\%$ at \$80.86 even as underlying spot advanced sharply, and MARA closing $\uparrow 0.99\%$ at \$11.26. The bifurcation — retail-brokerage and fintech beta leading the tape while miner-equity beta unwound — is consistent with a session where institutional flow chased the digital-asset expression through the brokerage and ETF channels rather than through the miner sleeve.

5. Carson's SPY \$645.80 Support Remains Active; No Levels Hit Friday, No New Levels Set Over the Weekend. Per levels.json, Carson's active SPY support at \$645.80 remained untouched through Friday's \$764.17–\$767.85 SPY intraday range per data drop and now sits approximately 15.7% below the current tape. No active resistance levels are on the book following the April 14 breakout of the \$691.90–\$693.20 major zone. With Bessent's Monday press conference, Consumer Confidence and New Home Sales Tuesday August 25 at 10:00 AM ET, July PCE and Q2 GDP 2nd estimate Wednesday August 26 at 8:30 AM ET, NVDA reporting Wednesday AMC alongside CRM and CRWD, MRVL Thursday AMC, and Chair Warsh's Jackson Hole keynote Friday morning August 28, the pre-committed FCI deployment discipline (70% of reserves at -25% drawdown, remaining 30% at -40%) continues to frame reactive positioning against any single-session gap through the sequence. Note: the data drop Fear & Greed reading of 71 "Greed" reflects the CNN endpoint falling back to the crypto index; per finhacker.cz historical coverage, the CNN stock-market F&G reading held near 52 "Neutral" as of Aug 20 and should be treated as approximate for this brief.